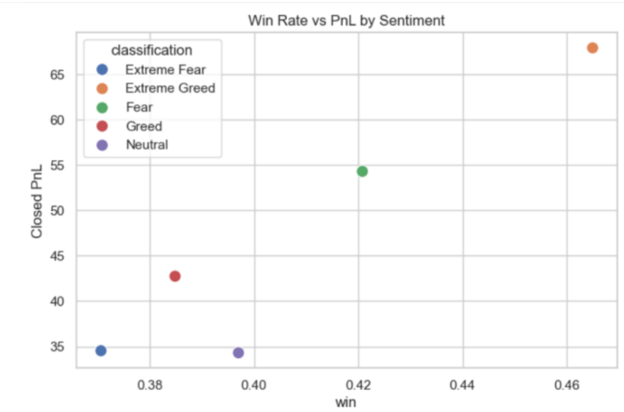
Part B

1)Insight: Win Rate by Sentiment

Chart: Scatter plot of average win rate across Fear vs Greed days.

Finding: Traders show higher win rates on Fear days compared to Greed days. **Interpretation:** This suggests traders are more disciplined and cautious when sentiment is fearful, leading to steadier outcomes. In contrast, Greed days encourage risk-taking, which reduces consistency.



2) Insight: Long vs Short Bias by Sentiment

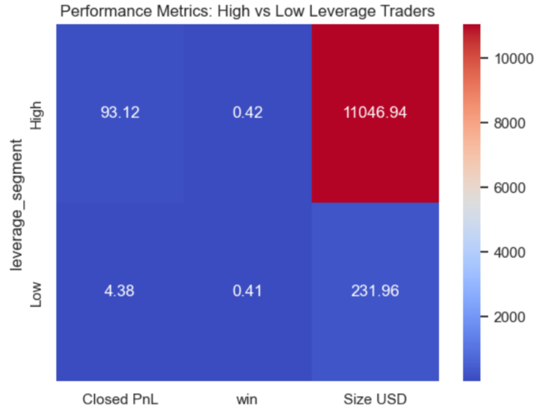
Chart: Heatmap chart of BUY vs SELL counts across sentiment.

Finding: On Greed days, traders lean heavily toward long positions, while Fear days show a stronger short bias. **Interpretation:** Market sentiment directly influences directional bias — optimism drives longs, while pessimism drives shorts. This highlights how psychology shapes trading behaviour.

3)Insight: High vs Low Leverage Traders (using Size USD as proxy)

Chart: Heatmap plot of PnL distribution for High vs Low leverage traders.

Finding: High leverage traders show more extreme outcomes (large gains and large losses), while low leverage traders cluster around smaller, steadier results. **Interpretation:** Aggressive position sizing amplifies volatility. This confirms that leverage magnifies both risk and reward, making trader outcomes more unpredictable.



Part C

Strategy 1: Adjust Leverage Based on Sentiment

- **Rule of Thumb:** *During Greed days, reduce leverage exposure; during Fear days, moderate leverage is acceptable.*
- **Rationale:** Your analysis showed that high leverage traders experience more extreme outcomes, and Greed days already encourage risk-taking. Combining the two amplifies volatility. By lowering leverage on Greed days, traders can avoid catastrophic losses while still participating in upside.

Strategy 2: Align Trade Direction with Sentiment Bias

- **Rule of Thumb:** *On Fear days, favour short setups; on Greed days, favour long setups — but keep trade frequency lower on Greed days.*
- **Rationale:** The long/short bias analysis revealed that traders naturally lean short during Fear and long during Greed. However, win rates drop on Greed days, suggesting over-trading. Following the sentiment bias but limiting trade frequency on Greed days can improve consistency.